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07-Dec-2023

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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Discussions deadlocked amid a widening buy-sell price gap**
- **Weak downstream epichlorohydrin (ECH) crimps spot interest**
- **Market activities winding down ahead of year-end festive season**

Asia's glycerine market remained subdued as discussions had stalled due to a widening buy-sell price gap.

Discussions were thin and trades scant as both buyers and sellers were far apart and stayed in their respective positions.

Buyers had largely covered their requirements for December and spot interest has waned ahead of the year-end festive season.

Sellers have also largely de-stocked ahead of the fiscal year timeline of 31 December and were not in a hurry to unload their January cargoes.

Chinese buyers have persistently sought lower prices given the weak downstream epichlorohydrin (ECH) market.

Consumer confidence has also been eroded amid the macro-economic headwinds of inflationary pressures and global recession fears.

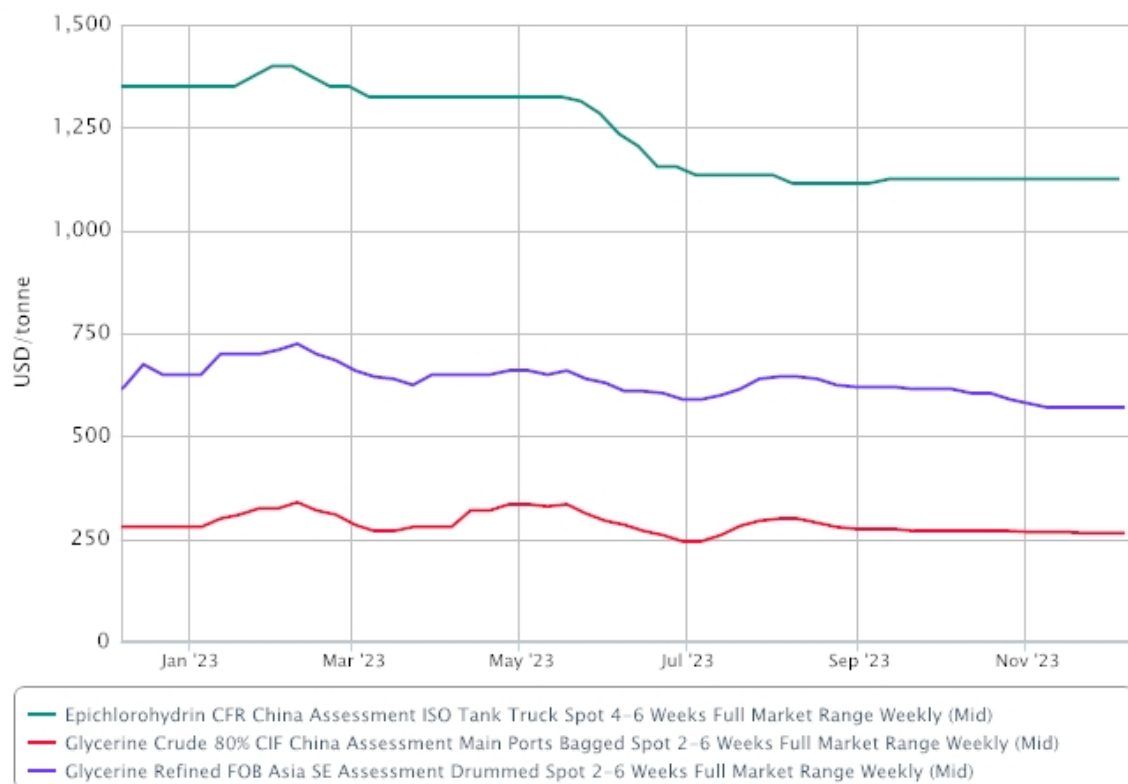
Although there were enquiries from India, southeast Asia, and the Middle East, spot interest has been limited as buyers adopt a prudent stance.

Meanwhile, China's two main manufacturing purchasing managers' indices (PMIs) diverged in November, with the official index slipping further in the contraction zone and the Caixin PMI rebounding into the expansion zone.

Private-sector firm Caixin's manufacturing PMI [rebounded](#) to 50.7 in November, up by 1.2 compared with October's reading.

According to the Caixin survey, the production index under the PMI has rebounded and demand has expanded.

Manufacturing sector participants have grown optimistic towards the market, although they still have concerns about the global economy in 2024.



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OUTLOOK

- Demand likely to remain tepid in the near term as buyers wait and see
- Discussions likely to start in H2 Dec on clearer upstream palm oil outlook
- Sellers likely to hold out for higher prices in the run-up to Lunar New Year

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	n/c	260-270	n/c	265-270	11.79-12.25
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	n/c	560-640	n/c	560-640	25.40-29.03
CFR China Drummed	USD/tonne	n/c	560-640	n/c	560-640	25.40-29.03
FOB SE Asia Drummed	USD/tonne	n/c	540-600	n/c	540-600	24.49-27.22

Refined glycerine

Spot prices for drummed shipments were kept unchanged at \$540-600/tonne FOB SE Asia on thin discussions and limited trades.

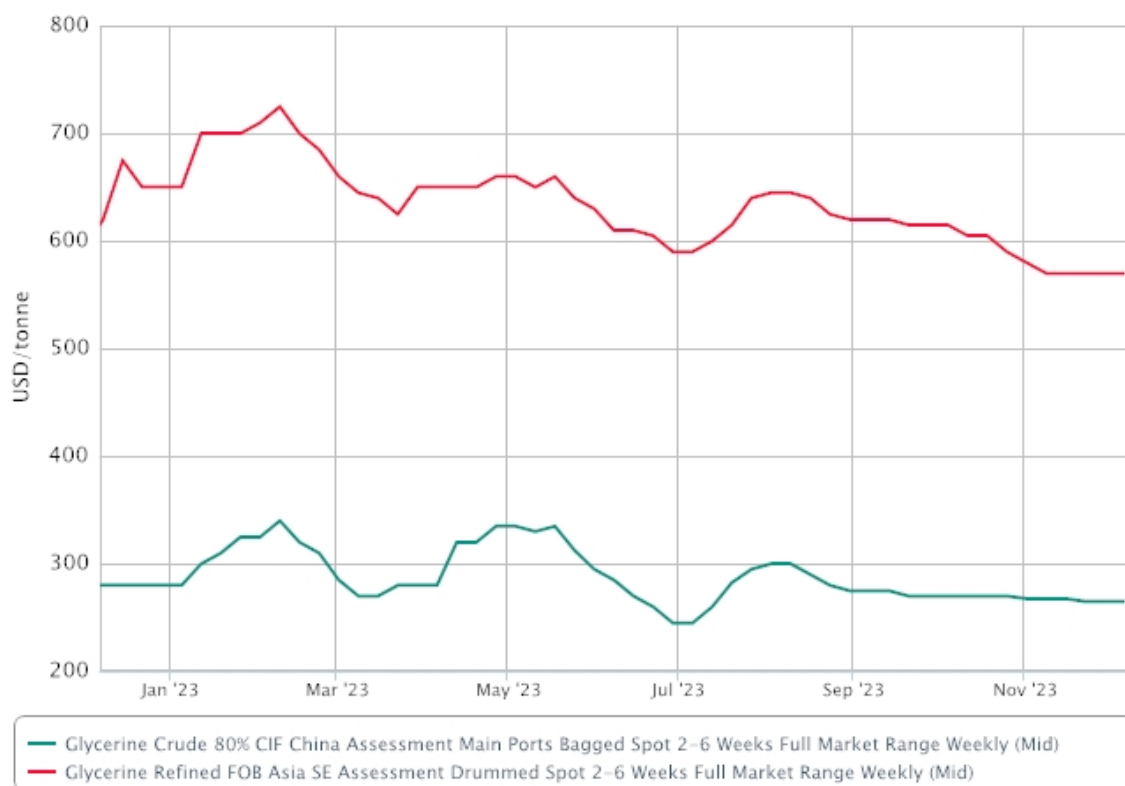
Enquiries from India were heard, but the buying indications were pegged below the \$540/tonne FOB SE Asia level.

Discussions for refined glycerine cargoes in high-density polyethylene (HDPE) or plastic drums were heard at \$520-530/tonne CIF India, but details were scant and could not be confirmed by the close of market.

Discussions were also heard ongoing for steel drummed shipments but no deal was heard done by the close of market.

Chinese buyers were reluctant to commit to January shipments, given the unclear outlook for the upstream palm oil market and tepid demand in the first quarter.

With the Lunar New Year falling on 10 February in 2024, market activities are expected to be sedate amid the holiday lull, which can stretch up to three weeks during the pre and post-holidays.



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Crude glycerine

Spot prices were assessed unchanged as trades for pure vegetable glycerine remained limited.

Buyers sought to procure pure vegetable glycerine around or below \$260/tonne CIF CMP for January shipments but sellers were holding out for \$270/tonne CIF CMP.

Discussions were heard ongoing for January shipments.

China spot interest for crude glycerine imports was limited due to ample inventories from previous large shipments from Brazil.

Product from Brazil takes about 5-8 weeks for the product to be shipped to China.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Crude glycerine from southeast Asia is typically at a higher 85% purity level.

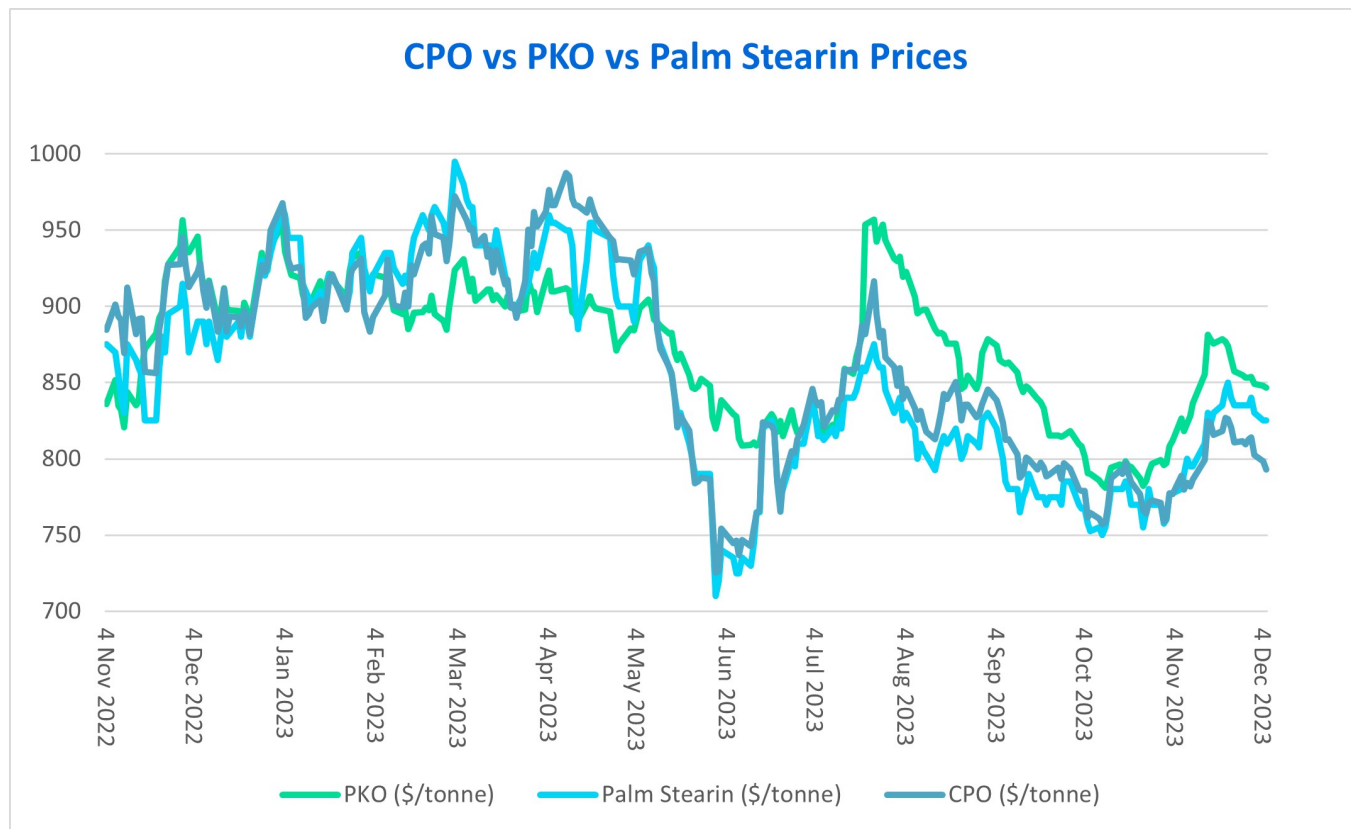
Its duty-free status and quick delivery time of about a week allows it to command a premium.

Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM



Product	Delivery	5-Dec	28-Nov
CPO	DEL, south Malaysia (M\$)	3,700.00	3,780.00
PKO	DEL, south Malaysia (\$)	846.82	853.28
Palm Olein	FOB, Malaysia (\$)	830.00	855.00
Palm Stearin	FOB, Malaysia (\$)	825.00	835.00
PFAD	FOB, Malaysia (\$)	730.00	760.00

All prices are on a per tonne basis.

Source: Matthes & Porton

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